

Scope of Article 2 and Firm Offers

Sources

UCC §§ 2-102, 2-104, 2-105, 2-205, and 1-103(b). Article 2 supplies special rules for transactions in goods; the common law of contracts supplements those rules unless displaced. The casebook's discussion of firm offers explains why commercial assurances can become binding without the separate consideration ordinarily needed for an option. The provisions reproduced by Cornell are model UCC text; the applicable state's enacted version governs an actual dispute. [§ 2-102](#); [§ 2-104](#); [§ 2-105](#); [§ 2-205](#); [§ 1-103](#).

Scope

Article 2 generally applies to transactions in goods. Under § 2-105, goods are things movable when identified to the contract, including specially manufactured goods. Carpeting and steel coils therefore fit Article 2 in *Dorton and C. Itoh*. Goods also include unborn animals and growing crops, subject to the Code's provisions concerning things attached to realty. Money used as the price, investment securities, and things in action fall outside the statutory definition. A sale of land or a contract solely for professional services ordinarily falls under other law.

A transaction need not involve two merchants to fall within Article 2. A consumer buying a refrigerator and a private owner selling a used refrigerator can enter sales contracts governed by Article 2. Merchant status matters only where a particular provision makes it matter. Section 2-205 requires the offeror to be a merchant; § 2-207(2)'s automatic incorporation of certain additional terms applies between merchants. Sections 2-204 and 2-206 do not generally require merchant status.

Contracts combining goods and services require a further classification. Many courts ask whether the predominant purpose of the transaction is a sale of goods with incidental labor or a service with incidental goods. The contract's language, the supplier's business, and the relative significance of the goods and services help answer that question. A purchase of equipment with installation can be predominantly a sale; a painting service does not ordinarily become a sale of goods merely because the contractor supplies paint. Jurisdictions differ in their treatment of mixed transactions. The uploaded casebook illustrates the predominant-factor approach through *Bonebrake v. Cox*, 499 F.2d 951, 960 (8th Cir. 1974), in its later discussion of Article 2's scope.

Merchant Status

Section 2-104 includes a person who deals in goods of the kind, a person whose occupation holds the person out as having knowledge or skill peculiar to the practices or goods involved, and a person to whom such knowledge or skill is attributed through an agent or intermediary. The relevant expertise depends on the provision being applied. A business may possess expertise in ordinary commercial practices even when it does not regularly sell the particular goods involved in a transaction.

Article 2: scope and firm offers (continued)

For firm offers, knowledge of commercial practices can suffice. A manufacturer selling used factory equipment therefore should not automatically be treated as a nonmerchant simply because selling that equipment is not its regular business. The casebook contrasts this broader inquiry with the implied warranty of merchantability, which § 2-314 ties to a merchant dealing in goods of the kind. Merchant status must be connected to the specific statutory rule, rather than treated as a universal label with identical consequences throughout Article 2.

Firm Offers

Section 2-205 protects an offer by a merchant to buy or sell goods when a signed writing gives assurance that the offer will be held open. No consideration is required for that assurance. If the assurance states a period, statutory irrevocability lasts for that period, subject to a three-month maximum. If no period is stated, it lasts for a reasonable time, also subject to that maximum. If the offeree supplies the form containing the assurance, the offeror must separately sign the assurance; a general signature on the form is insufficient for this special requirement.

An ordinary offer and an assurance against revocation perform different functions. A quotation must first be sufficiently definite and committed to count as an offer. Its identifying an acceptance deadline does not automatically establish every element of a firm offer. The writing must also communicate that the offer will be held open. Conversely, a qualifying firm offer remains only an offer until accepted. Section 2-205 binds the merchant's assurance without requiring the offeree to accept the proposed sale.

The three-month ceiling limits irrevocability supplied by § 2-205 without consideration. It does not impose a three-month ceiling on a separately supported option contract. It also does not necessarily make the underlying offer lapse when statutory protection ends. An offer that remains outstanding may still be accepted after that point unless it has expired, been effectively revoked, or otherwise terminated. A stated four-month acceptance period and a three-month period of statutory irrevocability can therefore coexist.

Application

Suppose a merchant signs an offer to sell 500 chairs for a specified price and promises to keep it open for sixty days. Section 2-205 can prevent revocation during those sixty days even if the buyer pays nothing for the assurance and never relies on it. If the buyer prepared a form containing that assurance, the seller must separately sign the assurance. If the same writing promises six months of irrevocability, § 2-205 alone supplies at most three months; additional legal grounds must support protection beyond that period.

The contrast with *Drennan* is central. *Star Paving* made an oral bid for construction work, and the court protected foreseeable reliance under common-law principles. *Drennan* does not depend on a merchant's signed assurance. Section 2-205 supplies an independent statutory route, with its own scope and formal requirements. Failure to qualify under that section is not itself proof that every possible consideration-based or reliance-based argument fails; those arguments require their own analysis under the governing law.

Restatement (Second) of Contracts §§ 45 and 90

Sources

Restatement (Second) of Contracts §§ 45 and 90. The Restatement describes common-law principles and is persuasive authority unless adopted by the relevant court. Section 45 addresses beginning the performance invited by an offer that permits acceptance only through performance. Section 90 addresses promises inducing foreseeable reliance. Drennan applied the First Restatement's versions; the Second Restatement's wording should be distinguished from the language quoted in that 1958 opinion. The assigned casebook reproduces and discusses these rules. Online reproductions appear in [Revocation of Offers](#) and [Promissory Estoppel](#).

Section 45

Section 45 applies when the offer invites acceptance through performance and does not invite a promise as acceptance. An option arises when the offeree tenders or begins the invited performance, or tenders its beginning. The resulting protection limits the offeror's ability to revoke while the offeree has the opportunity to complete the requested performance. The offeror's duty to perform the proposed exchange remains conditioned on completion or tender of the invited performance according to the offer's terms.

The distinction between creating the option and earning the promised return matters. If A offers B \$100 for walking across a bridge and the offer genuinely calls for completed performance rather than a promise, B's beginning the crossing creates protection against revocation. It does not ordinarily entitle B to the full \$100 merely for starting. Completion remains the condition of A's duty to pay. B does not, merely by obtaining the option, promise to finish the walk and become liable for stopping.

The offeree must begin the performance that the offer actually requests. Buying walking shoes or traveling toward the bridge ordinarily amounts to preparation. Preparation can be costly and foreseeable without constituting the invited act itself. It may support a reliance argument on appropriate facts, but § 45 does not turn every expense incurred after hearing an offer into the beginning of contractual performance. The offer's wording and context determine where preparation ends and the requested performance begins.

Section 45 also must be separated from an offer that allows acceptance by either a promise or performance. Under the Restatement's related § 62, beginning the invited performance in that setting can constitute acceptance and carry a promise to complete. Under § 45, the performance-only offer creates an option at the beginning, while the offeror's ultimate exchange obligation remains conditional. The classification therefore affects both parties' duties, not just the moment when revocation becomes ineffective.

Section 90

Section 90(1) recognizes enforcement when a promise foreseeably induces action or forbearance by the promisee or a third person and enforcement is necessary to prevent injustice. Its second sentence permits relief to be tailored as justice requires. The rule supplies a possible basis for enforcement even when the promise lacks bargained-for consideration. A person must identify a promise, the reliance it should reasonably have induced, the actual resulting change of position, and the injustice that enforcement would prevent.

Foreseeability and actual reliance require separate proof. A promisor may reasonably expect a contractor to use a bid, but a contractor who never used that bid has not established the same causal reliance. Conversely, a person may actually change position for reasons that the promisor could not reasonably anticipate. Reasonableness also matters: reliance on an obviously mistaken price, an expressly tentative estimate, or an assurance outside its stated limits is more difficult to justify. Expenditures made before the promise ordinarily cannot have been induced by it.

The Second Restatement removes the First Restatement's express requirement that the induced conduct be definite and substantial, but the seriousness and reasonableness of reliance remain relevant to injustice and relief. It also expressly includes reliance by a third person and recognizes remedial flexibility. A successful § 90 claim therefore does not mechanically produce either full expectation damages or reimbursement of every expenditure. The court connects the remedy to the promise, the reliance, and the injustice shown.

Section 90(2) separately addresses charitable subscriptions and marriage settlements: the Restatement's rule does not require proof of induced action or forbearance for those promises. That qualification should not be generalized to ordinary commercial promises. Nor does the Restatement's treatment establish that every jurisdiction has adopted the same rule for charitable pledges.

Relationship to Drennan

Drennan used § 90 to protect reliance on an offer before conventional acceptance. The subcontractor could foresee that the general contractor would commit to the owner using the quoted price. The court treated that reliance as supporting a subsidiary promise to keep the bid available long enough for acceptance after the award. Section 45 supplied an analogy: the law already protected an offeree who began an invited unilateral performance. But using Star's price in the general bid was not itself an acceptance of Star's offer or the bargained-for performance that Star requested.

The Second Restatement later addresses this situation more directly in § 87(2), which treats an offer inducing the requisite preacceptance reliance as binding as an option to the extent necessary to prevent injustice. This helps explain why reliance can preserve an opportunity to accept without automatically establishing that both parties already promised the entire exchange. In Drennan, the general contractor then promptly sought performance at the quoted price; the case did not authorize indefinite delay or renewed bargaining while retaining the original bid as a fallback.

Application

Begin with the offer's invited method of acceptance. If a promise is invited and effectively given, ordinary formation may resolve the case. If only performance is invited, determine whether the offeree has begun that performance, bringing § 45 into play. If the conduct consists of preparation or another foreseeable change of position before acceptance, examine reliance under § 90 and, where relevant, § 87(2). Then identify the consequence actually justified: preservation of the offer, enforcement of a promise, or a remedy tailored to the reliance.

A signed merchant assurance under § 2-205 can be binding without any of this conduct. A qualifying New York writing under General Obligations Law § 5-1109 likewise supplies its own basis for protection. These doctrines address overlapping practical problems through distinct elements; they should be applied independently before their consequences are compared.

Drennan v. Star Paving Co.

Citation

Drennan v. Star Paving Co., 51 Cal. 2d 409, 333 P.2d 757 (1958). Supreme Court of California, decided December 31, 1958. Justice Traynor wrote the opinion. The appeal concerned whether reliance made a subcontractor's offer irrevocable before the general contractor communicated acceptance. [Full judicial opinion.](#)

Parties

William A. Drennan, a licensed general contractor, was the plaintiff and respondent. He sought the additional cost of obtaining paving work after the subcontractor refused to perform at its quoted price. Star Paving Company was the defendant and appellant. It maintained that its bid was a revocable offer and that it withdrew the offer before acceptance. The school district awarded the principal construction contract to Drennan but was not a party to this damages action.

Material Facts

On July 28, 1955, Drennan prepared a bid for the Monte Vista school project in the Lancaster school district. Bids were due before 8 p.m. Local practice was for general contractors to receive subcontractor quotations by telephone on the bidding day and use them in calculating their own bids. Drennan's secretary received approximately fifty to seventy-five quotations, recorded them on forms, and gave them to Drennan for his master cost sheet.

Late that afternoon, Star's estimator telephoned a price of \$7,131.60 for the paving work according to the project's plans and specifications. He repeated the figure at the secretary's request. Drennan listened on an extension and entered the quotation on his cost sheet. Star supplied the lowest paving bid. Drennan used it to calculate his own total bid of \$317,385 and identified Star as the paving subcontractor. The bidding requirements called for identification of subcontractors responsible for at least one-half of one percent of the work and a bond equal to ten percent of the general bid. Drennan's bid was the lowest, and he received the principal contract.

The next morning, Drennan stopped at Star's office. Before he communicated acceptance, Star's construction engineer said the bid contained a mistake and could not be honored. Star demanded at least \$15,000. Drennan responded that he had used the original figure, was obligated to perform his own contract, and expected Star to perform at its quoted price. Star refused. After seeking replacement quotations for several months, Drennan hired L & H Paving for \$10,948.60, the lowest replacement bid he obtained. *51 Cal. 2d at 411-13.*

Procedural History

Drennan sued Star for the additional paving cost caused by its refusal to perform. The trial court found that Star made a definite offer to perform the specified work for \$7,131.60 and that Drennan relied on the offer in calculating his general bid and naming Star. It entered judgment for Drennan for \$3,817, plus costs. The damages represented the difference between Star's bid and the reasonable replacement cost.

Star appealed. Its principal argument presented a formation problem: no consideration supported an option, no bilateral contract arose from Drennan's use of the bid, and Star communicated withdrawal before Drennan communicated acceptance. It also relied on its mistake and challenged the sufficiency of Drennan's damages allegations. The California Supreme Court reviewed the legal effect of reliance while accepting the trial court's supported factual findings.

Issue

Did Drennan's foreseeable and reasonable reliance on Star's definite subcontract bid make the offer temporarily irrevocable, even though he had neither paid consideration for an option nor accepted the subcontract before Star attempted to withdraw? Could Star nevertheless escape liability because its bid resulted from mistake, and did Drennan adequately establish mitigation and resulting damages?

Rule and Holding

Reasonable, foreseeable reliance producing a prejudicial change of position can support an implied subsidiary promise not to revoke an offer, even without bargained-for consideration. Under the First Restatement's § 90, Star's bid became irrevocable long enough to give Drennan a reasonable opportunity to accept after the general contract was awarded. Drennan's use of the figure alone did not establish a bilateral subcontract; reliance instead protected his later opportunity to accept.

Star's mistake did not defeat recovery because Drennan had no reason to know of it and had already committed himself on the strength of the bid. The evidence also established reasonable mitigation. The result was enforcement sufficient to recover the \$3,817 additional cost. *Id. at 413-17.*

Judgment

The Supreme Court affirmed the trial court's judgment for Drennan for \$3,817 plus costs. Drennan prevailed on the reliance theory. The affirmance awarded damages for Star's refusal to honor the bid; it did not compel Star to perform the paving work.

Reasoning

The court first rejected the easiest conventional contract theories. Star had not bargained for Drennan's use of its quotation in exchange for a promise to keep the bid open. Nor did using the quotation manifest an acceptance binding Drennan to award Star the subcontract if he obtained the principal contract. There was therefore neither a consideration-supported option nor an already formed bilateral contract. Identifying this gap was essential: the court's work was to explain why revocation could still be ineffective.

Section 90 supplied the answer. Star submitted the bid to obtain the paving subcontract. It could expect that a low bid would be included in Drennan's calculation, help him obtain the principal award, and improve Star's own prospects. Drennan's reliance was therefore commercially expected and beneficial to Star's objective. Once Drennan committed himself to the owner, revocation would leave him bound to a price calculated from a quotation that Star now refused to honor. Protecting a reasonable opportunity to accept allocated that risk to the party that induced the commitment.

Drennan v. Star Paving (continued)

The court drew support from § 45's protection of an offeree who begins the performance invited by a unilateral offer. In that setting an implied subsidiary promise prevents revocation while the offeree completes the requested act. The court reasoned that foreseeable preacceptance reliance can justify comparable protection for an offer contemplating a bilateral contract. The analogy did not convert Drennan's bid calculation into the performance Star had requested. It explained why the absence of a completed exchange did not necessarily preserve unrestricted revocation.

The protection had limits. A general contractor cannot delay acceptance after the principal award while searching for a better price, or reopen negotiations with the subcontractor while continuing to insist on a right to accept the original bid. Drennan promptly told Star that he had used its bid and expected performance. His later search for replacement paving occurred after Star refused to honor the bid and served to mitigate the resulting loss; it was not the forbidden attempt to keep Star's offer in reserve while bargaining for a better original deal.

Mistake did not change the allocation. Drennan lacked notice of error, and paving quotations in the Lancaster desert area commonly varied widely; the court referred to a 160-percent variance between the highest and lowest bids. A low price therefore did not itself make reliance unreasonable. Star's cited rescission cases involved circumstances in which the mistake was or should have been known and the other party could be restored to its former position. Drennan had already committed to the principal contract. The court placed the resulting loss on Star, which caused the mistake, rather than on the contractor who reasonably relied on it.

Finally, the evidence showed that Drennan sought quotations for months and accepted the lowest replacement bid. That conduct satisfied reasonable mitigation. His complaint alleged the amount he had to pay for substitute paving. Any uncertainty in that allegation could have been challenged through a special demurrer; Star's failure to raise the objection in that manner waived it. *Id.* at 413-17.

Separate Opinions

Chief Justice Gibson and Justices Shenk, Schauer, Spence, and McComb concurred in Justice Traynor's opinion. The reported decision contains no separate concurrence or dissent.

Notes

Drennan distinguishes reliance from acceptance and reliance from consideration. The same act can reasonably induce commercial expectations without having been bargained for as the price of a promise. The court's solution was an implied commitment against revocation. Its discussion of a possible negligence duty in preparing bids reinforced the fairness of allocating the loss to Star, but the court expressly left unresolved whether negligence alone would support recovery on a case tried under that theory.

The opinion also stated that an offer expressly or clearly reserving revocation before acceptance would be treated accordingly. Its holding should therefore be connected to the definite, unqualified bid and justifiable reliance actually proved. The precise \$3,817 recovery does not establish that every promissory-estoppel case receives full expectation damages. The Second Restatement's § 90 expressly permits a remedy limited as justice requires; § 87(2) more directly addresses protection of offers inducing preacceptance reliance.

UCC §§ 2-204 through 2-207

Sources

The provisions work in sequence. Section 2-204 asks whether the parties formed a sales contract. Section 2-205 protects certain offers against revocation. Section 2-206 identifies permissible methods of acceptance. Section 2-207 addresses formation and terms when an acceptance or confirmation does not match the offer or earlier agreement. The section numbers should remain distinct: an irrevocable offer, an accepted offer, and an incorporated additional term are three different legal conclusions. § 2-204; § 2-205; § 2-206; § 2-207.

Section 2-204: Formation in General

A sales contract can arise in any manner sufficient to show agreement, including conduct by both parties recognizing a contract. The precise instant of formation need not be identified. Open terms do not defeat formation if the parties intended a contract and there is a reasonably certain basis for an appropriate remedy. Commercial conduct and objective intention therefore matter even when the parties' paperwork is incomplete.

This flexibility does not dispense with agreement. Negotiations that reserve commitment for later approval may remain preliminary. Nor does the Code supply every missing essential automatically. An open price can often be supplied under § 2-305, but the absence of an ascertainable quantity is a more serious problem unless a recognized arrangement, such as a requirements or output contract, supplies the quantity measure. Formation also should be separated from enforceability under the statute of frauds in § 2-201, an independent inquiry where applicable.

For example, if a seller repeatedly ships identified goods and the buyer accepts and pays for them, the parties' conduct may demonstrate a sales contract despite uncertainty about which conversation completed the agreement. If their exchanged forms conflict, § 2-207 supplies the more specific analysis of which terms govern. Section 2-204 establishes flexibility; it does not let a court simply select whichever party's boilerplate seems preferable.

Section 2-205: Firm Offers

A merchant's offer to buy or sell goods is protected against revocation without consideration when a signed writing assures that the offer will be held open. Protection lasts for the stated time, or a reasonable time if none is stated, with a maximum of three months under this statutory mechanism. An assurance appearing on the offeree's form must be separately signed by the offeror. Only the offeror must qualify as a merchant for this provision; the offeree may be a consumer.

The section removes the need for consideration supporting the assurance, not the need for acceptance of the proposed sale. It also does not require the reliance that matters in *Drennan*. The detailed scope and examples appear in the opening notes. Its three-month limit concerns the particular statutory protection, rather than every option or every outstanding offer involving goods.

Section 2-206: Offer and Acceptance

Unless the offer's language or circumstances unambiguously indicate otherwise, an offer invites acceptance in any reasonable manner and by any reasonable medium. An order for prompt or current shipment can ordinarily be accepted through a prompt promise to ship or through prompt or current shipment. The offeror can specify a narrower method, but an exclusive requirement must be established from the actual language and circumstances.

Shipment of nonconforming goods ordinarily both accepts the order and breaches the resulting contract. The seller cannot automatically avoid a contract by sending the wrong goods. The exception is a seasonable notice that the nonconforming shipment is offered only as an accommodation. With that notice, the shipment functions as a proposed substitute transaction rather than acceptance of the original offer. The buyer can decide whether to accept the proposed accommodation.

Suppose a buyer orders 100 blue chairs for immediate shipment. A prompt promise to send them accepts the offer. A prompt shipment of 100 blue chairs also accepts. A shipment of 100 red chairs without a seasonable accommodation notice ordinarily accepts and breaches. If the seller seasonably explains that the red chairs are offered only as a substitute accommodation, the shipment does not accept the original order. These are formation consequences; the buyer's separate rights concerning rejection, cure, or acceptance of goods depend on other Article 2 provisions.

Where beginning the requested performance is a reasonable method of acceptance, § 2-206(2) protects an offeror who is not notified within a reasonable time: the offeror may treat the offer as having lapsed before acceptance. An offeree therefore should not assume that undisclosed commencement always binds an unaware offeror indefinitely. Also distinguish acceptance of an offer, which forms a contract, from acceptance of delivered goods, which concerns performance under a sales transaction.

Section 2-207: Additional or Different Terms

Subsection (1) first asks whether there is a definite and seasonable expression of acceptance, or a written confirmation sent within a reasonable time. Such a response can operate despite additional or different terms. This displaces the traditional insistence that the acceptance mirror the offer. The response must still objectively express agreement; a fundamental disagreement over the transaction can show that no definite acceptance occurred.

The proviso in subsection (1) makes an exception where the response expressly conditions acceptance on the offeror's assent to the additional or different terms. Dorton interprets that language strictly: the response must clearly communicate unwillingness to proceed without the offeror's assent. Merely saying the response is subject to the seller's terms did not satisfy that standard there. A material alteration and an expressly conditional acceptance are distinct concepts. The importance of a term does not by itself prove that the seller expressly conditioned acceptance on assent to it.

If a contract arises through subsection (1), subsection (2) addresses additional terms. They begin as proposals. Where the transaction is not between merchants, inclusion ordinarily requires agreement to the proposed addition; the special rule for merchants does not automatically incorporate it. Between merchants, an additional term becomes part of the contract unless the offer expressly limits acceptance to its own terms, the addition materially alters the contract, or timely notice of objection has been given. An objection may already have been communicated or may be made within a reasonable time after notice of the proposed term.

Material alteration generally concerns a change that would produce surprise or hardship if incorporated without express awareness. The parties' practices, communications, and commercial setting can matter. Dorton required factual findings about the arbitration clause rather than announcing that every arbitration term necessarily is, or is not, material. Failure to object is not enough to incorporate a material alteration under the merchant rule. Conversely, a term excluded from automatic incorporation can still become binding through actual agreement.

If the writings do not form a contract, subsection (3) asks whether both parties nevertheless act as though a contract exists. Shipment and the buyer's acceptance and payment can establish that conduct. The resulting terms are those on which the writings agree, together with supplementary terms supplied under the Code. A seller's unaccepted additional arbitration clause does not enter this contract merely because it appeared in the last form sent. C. Itoh applies this route after a genuinely conditional acknowledgment and subsequent performance without assent to the added clause.

The statute expressly mentions additional and different terms in subsection (1), but its model subsection (2) expressly discusses additional terms. Courts differ in their treatment of different terms where a contract forms under subsection (1). A common approach removes conflicting terms and supplies the applicable Code rule; other approaches favor the offer's term or analyze differences through subsection (2). Do not present one approach as universal. This interpretive dispute is separate from subsection (3)'s express instruction to retain agreed terms and add the Code's supplementary provisions.

Application

Reconstruct the transaction before reading the boilerplate in isolation. Determine whether an oral agreement already existed, identify the offer and response, and locate the disputed term in each communication. If the response is an effective acceptance under subsection (1), apply subsection (2) to additional terms. If the response is genuinely conditional and the offeror does not assent, ask whether later mutual performance establishes a contract under subsection (3). If neither assent nor qualifying conduct exists, formation has not been established through either route.

This sequence explains the different outcomes of Dorton and C. Itoh. Dorton's acknowledgment was not expressly conditional in the required sense, so the court needed findings about earlier agreement and material alteration. C. Itoh's acknowledgment was expressly conditional, the writings did not form a contract, and subsequent performance supplied one under subsection (3). Receipt and payment proved commitment to the sale without necessarily proving assent to every printed term.

Dorton v. Collins & Aikman Corp.

Citation

Dorton v. Collins & Aikman Corp., 453 F.2d 1161 (6th Cir. 1972). United States Court of Appeals for the Sixth Circuit, decided January 6, 1972. Judge Celebrezze wrote the opinion. The case concerns whether an arbitration clause in a seller's acknowledgments became part of carpet sales under UCC § 2-207. [Full judicial opinion.](#)

Parties

Frank E. Dorton and his partners, doing business as The Carpet Mart in Kingsport, Tennessee, were the plaintiffs and appellees. They bought carpets for retail sale and claimed that the seller misrepresented the fiber content. Collins & Aikman Corporation, a Delaware corporation with its principal place of business in New York and a carpet plant in Dalton, Georgia, was the defendant and appellant. It sought to enforce arbitration language in its printed sales forms. Both sides qualified as merchants for the transactions at issue.

Material Facts

During 1968 through 1970, the parties conducted more than fifty-five carpet transactions. Orders were telephoned to Collins & Aikman's Georgia order department, sometimes by a Carpet Mart partner and sometimes through the seller's visiting salesman. The parties disputed whether those communications themselves produced oral sales agreements. One buyer affidavit described employees or the salesman agreeing to sell the requested carpet during the ordering process. The seller's position and the wording of its forms suggested that written acknowledgment supplied acceptance.

After checking the price and the buyer's credit, Collins & Aikman sent a printed acknowledgment. The forms had several titles and variations. Their front sides stated that the transaction was subject to terms on both sides, including arbitration. They purported to bind the buyer through various acts, including signing, furnishing shipping directions, accepting delivery, or in some versions retaining the form for ten days without objection. The reverse contained a broad clause requiring arbitration in New York City of disputes connected with the contract.

The seller mailed the acknowledgment on the ordering day or the following day. Except for possible postal delay, it arrived before the carpets. The Carpet Mart accepted delivery and paid without objecting to the printed terms. In May 1970, a customer complaint led it to discover that some carpet supposedly manufactured entirely from Kodel polyester allegedly contained a cheaper, inferior fiber. The parties' agreement to buy and sell carpet was evident; the dispute concerned whether they had also agreed to the seller's arbitration mechanism. *453 F.2d at 1163-65.*

Procedural History

The Carpet Mart sued in Tennessee state court for fraud, deceit, and misrepresentation, seeking \$450,000 in compensatory and punitive damages. Collins & Aikman removed the action to federal district court on diversity grounds and moved under § 3 of the Federal Arbitration Act to stay the litigation pending arbitration. The district court concluded that no binding arbitration agreement existed. It applied § 2-207(3), treating the transactions as contracts established by conduct, and refused to include the seller's additional arbitration clause.

Collins & Aikman appealed the denial of the stay. Although the order was interlocutory, the Sixth Circuit held it appealable under the doctrine then governing stays pending arbitration and 28 U.S.C. § 1292. It noted that Georgia and Tennessee had both enacted the UCC before these transactions. The appeal required the court to review the district court's use of § 2-207, not to determine whether the alleged fiber substitution or fraud actually occurred.

The Sixth Circuit concluded that the existing findings did not permit a final decision on whether arbitration was a contractual term. It remanded for findings about formation during the oral dealings, whether arbitration had already been included, and, if arbitration was an added term, whether it materially altered the relevant offer or agreement. *Id. at 1163-64, 1169-71.*

Issue

Did the seller's acknowledgments make acceptance expressly conditional on the buyer's assent to additional terms, so that the writings failed to form a contract and § 2-207(3) governed? If they instead were effective acceptances or confirmations under § 2-207(1), did the arbitration clause enter the contracts under subsection (2)? If it did, did the buyer's fraud claims nevertheless permit the court action to proceed without a stay?

Rule and Holding

An acceptance is expressly conditional within § 2-207(1) only when it clearly conveys that the offeree will not proceed without the offeror's assent to the additional or different terms. The seller's subject-to language and provisions treating various acts or silence as acceptance did not satisfy that requirement. The district court therefore could not bypass subsections (1) and (2) by applying subsection (3) on that basis.

If arbitration was additional to the oral offers or prior agreements, it had to be evaluated under subsection (2). Because the parties were merchants, the material-alteration inquiry was central. A material addition would require express agreement to become binding. The appellate court did not decide whether this arbitration clause materially altered these transactions; it required factual findings on remand. If the clause was part of the contracts, its breadth covered the asserted fraud claims and required a stay. *Id. at 1168-71.*

Judgment

The court remanded to the district court for further findings consistent with its opinion. It did not finally order arbitration and did not finally hold that arbitration was excluded. The disposition required the trial court to use the correct formation and terms analysis before deciding whether the action should be stayed.

Reasoning

Section 2-207 responds to the commercial practice of exchanging forms whose standard terms seldom match. Under the traditional mirror-image approach, a response adding terms could become a counteroffer, and subsequent performance could give the party sending the final form a substantial advantage. The Code permits a contract to exist despite differences in boilerplate and separately determines which added terms enter it. Treating every qualified acknowledgment as a counteroffer would undermine that statutory design.

The first factual question was whether the oral dealings already completed the contracts. If they did, the acknowledgments were confirmations of existing agreements. If they did not, the forms could be acceptances of oral offers. Section 2-207 applies in either situation; the dispute need not involve two competing written forms. The distinction nevertheless matters because it identifies the agreement against which the alleged addition must be compared. It also prevents a court from treating a later confirmation as if no prior contract existed.

The second question was whether arbitration was actually new. The district court had apparently assumed the oral orders contained no arbitration term. The Sixth Circuit required a finding. If the parties already agreed to arbitration, the printed clause would not need to enter as an additional term under subsection (2). If they did not, its inclusion depended on the statutory treatment of additions or on a later actual agreement.

The conditional-acceptance proviso required more than the seller's assertion that its terms governed. It required an express condition tied to the buyer's assent. The forms supplied several supposed ways to bind the buyer, including mere retention without objection. That language did not distinctly establish that the seller would refuse to proceed unless assured of assent to the added terms. Calling an acknowledgment subject to its reverse-side conditions therefore did not have the same effect as clearly conditioning acceptance on the offeror's agreement to them.

Once the acknowledgments were treated as acceptances or confirmations, subsection (2) governed an additional arbitration clause. The court left materiality to factual determination. If the addition materially altered the transaction, the buyer would not become bound without expressly agreeing. If it did not materially alter it, the merchant rule could incorporate it under the circumstances presented. The repeated transactions and receipt of forms supplied relevant context; they did not eliminate the need for the correct legal inquiry.

Finally, the court distinguished a challenge to making an arbitration agreement from a claim that the overall contract was induced by fraud. Under *Prima Paint*, a broad arbitration clause, if actually agreed upon, could cover the alleged fraud in carpet composition. The buyer attacked the underlying sale rather than asserting fraud specifically in procuring the arbitration clause. Thus, the court first had to decide whether the arbitration agreement existed. Only after an affirmative answer would the broad clause require a stay. *Id. at 1166-71.*

Separate Opinions

The reported decision contains Judge Celebrezze's opinion without a separate concurrence or dissent. Judge Brooks participated in the decision but died before it was filed.

Notes

The holding concerns the meaning of expressly conditional acceptance and the need for proper findings. Whether arbitration materially altered the particular bargains remained unresolved. A brief that says the Sixth Circuit conclusively rejected arbitration would misstate the disposition. Likewise, the court's statement that a stay would be required if the clause was included is conditional on the formation issue being resolved for the seller.

Dorton also separates two provisions that are easy to conflate. The § 2-207(1) proviso asks what condition the responding party expressly communicated. Section 2-207(2)(b) asks what effect an added term would have on the bargain. A substantial alteration does not, merely because it is substantial, turn an otherwise effective acceptance into an expressly conditional counteroffer. *C. Itoh* presents the contrasting situation in which the seller's language did satisfy the proviso.

C. Itoh & Co. (America) Inc. v. Jordan International Co.

Citation

C. Itoh & Co. (America) Inc. v. Jordan International Co., 552 F.2d 1228 (7th Cir. 1977). United States Court of Appeals for the Seventh Circuit, decided April 4, 1977. Judge Sprecher wrote the opinion. This brief uses the judicial-opinion excerpt in the supplied Farnsworth casebook, seventh edition, printed pages 199-201, which includes an editorial statement of facts and procedure. The full online opinion could not be independently retrieved for this packet; the analysis below is confined to the decision and reasoning reproduced in that excerpt.

Parties

C. Itoh & Co. (America) Inc. was the buyer, plaintiff, and appellee. The Jordan International Company was the steel seller, defendant, and appellant. Itoh sought judicial relief for allegedly defective steel and late delivery. Jordan contended that the dispute had to be arbitrated under a provision in its acknowledgment and sought to stay the litigation pending arbitration.

Material Facts

Itoh sent Jordan a purchase order for steel coils. Jordan responded with its acknowledgment form. Its language expressly conditioned the seller's acceptance on the buyer's assent to the additional or different terms appearing in the form and on its reverse side. It also directed the buyer to notify the seller immediately if the terms were unacceptable. One reverse-side provision required arbitration. Itoh's purchase order contained no corresponding arbitration clause.

The writings therefore did not establish agreement on arbitration. Jordan nevertheless delivered the steel, and Itoh paid for it. Itoh later complained that the steel was defective and had arrived late. The parties' performance showed that they were carrying out a sales transaction even though the seller had never obtained the assent required by its expressly conditional acknowledgment. The question became which terms governed the contract demonstrated by that performance.

Procedural History

Itoh filed suit against Jordan based on the alleged defects and late delivery. Jordan moved to stay the proceedings pending arbitration, relying on its acknowledgment. The trial court denied that motion. Jordan appealed the denial to the Seventh Circuit.

The appellate inquiry addressed whether the arbitration clause belonged to the sales contract under § 2-207. The question did not require a final decision about the quality of the steel, the timeliness of delivery, or the amount of damages. The Seventh Circuit affirmed the denial of the stay on the ground that the contract created by conduct did not include the unagreed arbitration provision.

Issue

When a seller expressly conditions acceptance on the buyer's assent to additional terms, the buyer does not assent, and both parties nevertheless perform, does § 2-207(3) create a contract? If so, can the seller's arbitration clause become one of that contract's terms through the buyer's receipt and payment or through the provision for supplementary Code terms?

Rule and Holding

The seller's acknowledgment satisfied the expressly-conditional proviso in § 2-207(1). The exchange of writings therefore did not itself create a contract; the acknowledgment operated as a counteroffer. The parties' subsequent performance nevertheless established a contract under § 2-207(3).

That contract included the terms on which the writings agreed and applicable supplementary Code terms. The parties' writings did not agree to arbitration, and Article 2 did not supply arbitration as a gap-filling term. The unaccepted clause was therefore excluded. Delivery and payment established the sales contract without establishing assent to that additional clause.

Judgment

The Seventh Circuit affirmed the denial of Jordan's motion to stay the proceedings pending arbitration. Itoh could continue litigating its claims in court. The decision resolved the asserted obligation to arbitrate; it did not establish that Itoh had proved breach or its claimed damages.

Reasoning

Jordan's form used the condition that Dorton's forms lacked: it expressly tied acceptance to the buyer's assent to additional or different terms. That language prevented contract formation through the writings unless the condition was satisfied. The seller could not rely on § 2-207(1)'s ordinary rule treating a nonmatching acknowledgment as an acceptance while simultaneously insisting that its acceptance was withheld pending further assent.

The failure of the writings to form a contract did not end the analysis. Section 2-207(3) expressly recognizes contracts demonstrated by both parties' conduct. Jordan delivered and Itoh paid. Those reciprocal acts supplied objective evidence of a sales relationship. The Code thus avoided treating a completed commercial exchange as legally nonexistent merely because the parties' forms had failed to match or form a contract on their own.

C. Itoh v. Jordan International (continued)

The same subsection determined the terms. Its agreed-terms rule excluded Jordan's additional arbitration provision because the buyer's purchase order did not agree to it. Requiring an express contradiction in the buyer's form would defeat that rule: a term present only in the seller's form still was not a term on which both writings agreed. Neither the seller's last word in the exchange nor the buyer's ordinary performance automatically made that provision binding.

Jordan also could not reintroduce the arbitration clause as a supplementary term. The court interpreted that language as referring to the standardized gap-filling provisions of Article 2. Such provisions can complete a contract by supplying applicable default obligations. They do not serve as a route for importing disputed boilerplate that the agreed-terms rule has just excluded. Arbitration was not a necessary missing term supplied by the Code. The sales contract could operate with disputes resolved through the ordinary judicial process.

The court also addressed fairness to a seller choosing an expressly conditional form. Before the buyer assents or the parties proceed with conduct creating a contract, the seller benefits from not being committed through the writings alone. If the additional terms truly are essential, it can withhold delivery until it obtains the required assent. If it elects to deliver without that assent, it accepts the risk that the conduct-based contract will omit its unagreed terms. Giving the seller both freedom from a contract when it wishes to withdraw and automatic inclusion of its boilerplate when it wishes to perform would distort the statutory allocation.

Separate Opinions

The assigned excerpt presents Judge Sprecher's opinion and contains no separate opinion. It does not provide a basis for adding an unverified account of other opinions or of proceedings beyond the reproduced decision.

Notes

C. Itoh illustrates the cost of making acceptance expressly conditional. That drafting can prevent formation through the forms, but it does not guarantee that the seller's preferred terms will govern if the parties proceed anyway. If agreement to arbitration is essential, the seller must obtain the requisite assent before relying on the conditional language and performing.

The comparison with Dorton turns on the formation route. Dorton required further examination under subsections (1) and (2), including material alteration, because the acknowledgments did not clearly condition acceptance on assent. C. Itoh proceeded under subsection (3), where the additional arbitration term was excluded because it was not agreed upon and was not supplied by the Code. Its exclusion did not depend on deciding the material-alteration question that remained open in Dorton.

New York General Obligations Law § 5-1109

Source

New York General Obligations Law § 5-1109, concerning written irrevocable offers. The statute removes lack of consideration as a basis for revoking a qualifying written offer during its protected period. Its opening exception preserves the operation of UCC § 2-205 for merchant offers to buy or sell goods. [Official New York statutory text.](#)

Rule

An offer to enter a contract must appear in a writing signed by the offeror or the offeror's agent and state that it is irrevocable for a specified period or until a specified time. The assurance is protected despite the absence of consideration. If the signed writing says the offer is irrevocable but supplies no period or ending time, the statute treats it as irrevocable for a reasonable time.

The provision requires neither the reliance demanded by a promissory-estoppel theory nor, outside its UCC exception, merchant status. It is broader in subject matter than Article 2's firm-offer provision and can address offers involving services or land. It nevertheless presupposes an actual offer and the required written assurance; preliminary discussions, an unsigned draft, or an oral promise to keep an offer open do not automatically satisfy its conditions.

Relationship to Section 2-205

For an offer by a merchant to buy or sell goods, the statute expressly defers to what § 2-205 otherwise provides. Section 5-1109 therefore cannot simply be invoked to disregard the UCC's applicable three-month maximum or its rule about assurances on an offeree-supplied form. The first step is to classify the transaction and determine whether § 2-205 governs the merchant's assurance.

Outside that exception, § 5-1109 itself states no three-month ceiling. A qualifying signed offer concerning a service contract and expressly made irrevocable for four months therefore is not reduced to three months merely by importing the UCC rule. Other formation requirements and applicable defenses remain relevant. The statute addresses the effect of absent consideration on irrevocability; it does not declare every written proposal an otherwise valid or fully formed contract.

Application

Suppose a New York service provider signs a definite proposal and states that the offer is irrevocable until a specified date. Even if the customer pays no option price and incurs no reliance expense, § 5-1109 can preserve the opportunity to accept until that date. If the signed proposal declares irrevocability without naming a date, a reasonable period is supplied. The customer still must accept effectively while the power of acceptance remains available before the service exchange itself becomes binding.

The assignment's doctrines therefore offer distinct routes to protection. A bargained-for option rests on consideration. Section 45 protects the beginning of invited performance under a performance-only offer. Drennan protects qualifying reliance on a subcontract bid. Section 2-205 protects a merchant's signed assurance concerning goods within its limits. Section 5-1109 protects qualifying New York writings within its broader scope while respecting the UCC exception. Identifying the source of irrevocability explains both why the offer stays open and what still must happen to form the contemplated exchange.